NB

Decision No. 76487

ORIGINAL

BEFORE THE PUBLIC UTILITIES COMMISSION OF THE STATE OF CALIFORNIA

Investigation on the Commission's own motion into the operations, rates, charges, and practices of NORMAN A. HUGHEY, doing business as C & H TRANSPORTATION COMPANY; NICKERSON LUMBER COMPANY, a California corporation; PINE RIDGE LUMBER COMPANY, a California corporation; SPECKERT LUMBER COMPANY, a California corporation; and BRUNSWICK LUMBER PRODUCTS CORPORATION, a California corporation.	)	Case No. 8907

Norman A. Hughey, in propria persona, respondent.
William J. McNertney, Counsel, for the Commission staff.

O P I N I O N

By its order dated April 15, 1969, the Commission instituted an investigation into the operations, rates and practices of Norman A. Hughey, doing business as C & H Transportation Co., for the purpose of determining whether C & H has violated Sections 3664, 3667 and 3737 of the Public Utilities Code by charging, demanding or receiving a lesser compensation for transportation and services than that established by the Commission in Minimum Rate Tariff No. 2 (MRT 2). The shippers involved in these transactions, Nickerson Lumber Corp., Pine Ridge Lumber Co., Speckert Lumber Co., and Brunswick Lumber Products Corp., were also named as respondents.

A duly noticed public hearing was held before Examiner Foley on June 17, 1969, in Yuba City. The matter was heard and submitted.

It was stipulated that respondent Hughey operates as a radial highway common carrier under Radial Highway Common Carrier Permit No. 51-762. Under this permit respondent's operations are limited to within a 150-mile radius of Yuba City. It was also stipulated that respondent Hughey possessed the appropriate Commission tariffs.

Respondent Hughey operates three tractors and seven trailers. He employs three drivers while the rating and office work are done by himself from his residence. During 1968 his gross revenue was $65,968. Respondent Hughey has had three prior undercharge letters from the Commission, and one prior formal proceeding in which undercharges in the amount of $1,800 resulted. A fine was also levied in this prior proceeding. The present proceeding resulted from Citation No. F-102, issued pursuant to the Commission's informal procedure wherein the respondent carrier denied the charges specified and requested a hearing.

On July 18, 19, and October 23, 1968, a representative of the Commission's Compliance Section visited respondent Hughey's home and place of business and checked his records for the period from April 1, 1968 through June 30, 1968. Copies of the underlying documents relating to 10 shipments were made and forwarded to the Commission's Transportation Division (Exhibit No. 1). From this data, a rate study was prepared and introduced in evidence (Exhibit No. 2). It reflects alleged undercharges of $545.70.

Exhibit No. 1 and the testimony of the staff witnesses indicate several different types of violations, most of which resulted from careless documentation and rating practices. The staff alleged that respondent Hughey had (1) operated beyond the 150-mile radius authorized in his permit in that the shipments involved herein were made to the Los Angeles area; (2) assessed a

rate less than the minimum; (3) incorrectly recorded dates for split pickup and multiple lot shipments; (4) erroneously recorded points of origin and/or points of destination as on rail; (5) incorrectly rated some shipments as multiple lot shipments; and (6) failed to maintain records for three years as required by Minimum Rate Tariff No. 2.

The staff witnesses testified as to the correct rating procedures which should have been applied, and have explained these procedures to the respondent carrier. They also testified that Hughey was given the benefit of the doubt regarding several shipments. The staff recommends that respondent Hughey be admonished not to operate beyond his authorized 150-mile radius, and to maintain his records properly. Subsequent to the hearing, however, respondent has received authority to operate statewide. The staff further recommends that respondent be directed to collect the undercharges and pay a fine in the same amount. A punitive fine is not requested.

Respondent carrier made a statement in his own behalf. He did not contest the correctness of the staff's position. He explained that with regard to four of the shipments he rated them in accordance with a new rate before it became effective.

After consideration the Commission makes the following findings of fact:

1. Respondent Norman A. Hughey, doing business as C & H Transportation Co., operates under the permit issued by this Commission, as previously stated.

2. Respondent carrier was served with the appropriate tariffs and distance tables.

3. Respondent carrier charged less than the lawfully prescribed minimum rate in the instances as set forth in Exhibit No. 2, resulting in undercharges in the amount of $545.70.

4. Respondent carrier has operated beyond the authorized limit of a 150-mile radius from Yuba City.

5. Respondent carrier has failed to maintain proper records regarding his operations.

Based upon the foregoing findings of fact the Commission concludes that respondent violated Sections 3664, 3667 and 3737 of the Public Utilities Code and should pay a fine in the amount of $545.70

Furthermore, the Commission admonishes respondent to maintain the records of his operations in full compliance with the requirements of the appropriate tariffs.

The Commission expects that respondent Hughey will proceed promptly, diligently and in good faith to pursue all reasonable measures to collect the undercharges. The staff of the Commission will make a subsequent field investigation into the measures taken by respondent and the results thereof. If there is reason to believe that respondent, or its attorney, has not been diligent, or has not taken all reasonable measures to collect all undercharges, or has not acted in good faith, the Commission will reopen this proceeding for the purpose of formally inquiring into the circumstances and for the purpose of determining whether further sanctions should be imposed.

O R D E R

IT IS ORDERED that:

1. Norman A. Hughey, the respondent carrier herein, shall pay a fine of $545.70 to this Commission on or before the fortieth day after the effective date of this order.

2. Respondent carrier shall cease and desist from charging and collecting compensation for the transportation of property or

for any service in connection therewith, in a lesser amount than the minimum rates and charges prescribed by law and the regulations of this Commission.

3. Respondent carrier shall take such action, including legal action, as may be necessary to collect the amounts of undercharges set forth herein and shall notify the Commission in writing upon the consummation of such collections.

4. Respondent carrier shall proceed promptly, diligently and in good faith to pursue all reasonable measures to collect the undercharges, and in the event undercharges ordered to be collected by paragraph 3 of this order, or any part of such undercharges, remain uncollected sixty days after the effective date of this order, respondent shall file with the Commission, on the first Monday of each month after the end of said sixty days, a report of the undercharges remaining to be collected, specifying the action taken to collect such undercharges, and the result of such action, until such undercharges have been collected in full or until further order of the Commission.

The Secretary of the Commission is directed to cause personal service of this order to be made upon the respondents herein. The effective date of this order as to each respondent shall be twenty days after the completion of service upon such respondent.

Dated at San Francisco, California, this 2nd day of DECEMBER, 1969.

William Symons, Jr.
President

Commissioners